



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Michael and Eileen Ditchfield

Of

4 Joyce Street
ELWOOD VIC 3184

Prepared on:

7th March 2022

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

Lakeside Financial
Level 1, 99 Bay Street
Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222
Email: andrew.lord@lakesidefinancial.com.au

Authorised Representative # 324798

Pareto Group Pty Ltd
ABN 11 155 278 078 Australian Financial Services Licensee No. 418700
1/99 Bay Street, Brighton, Vic, 3186
Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

7/03/2022

Michael and Eileen Ditchfield
4 Joyce Street
Elwood VIC 3184

Dear Michael and Eileen,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

STATEMENT OF ADVICE.....	1
Financial Planning Strategy	1
Purpose of this document.....	4
Timeframe for our advice	4
Check for accuracy	4
Limitations of our advice	4
Product selection	5
Introduction	6
The Scope of Our Advice	6
Our Investment Recommendations.....	7
Your Adviser	7
The Planning Process	7
Executive Summary	8
Your Goals and Objectives	8
Personal Information.....	9
Personal Details	9
Employment Details.....	9
Estate Planning.....	9
Current Assets and Liabilities.....	10
Strategy Recommendation.....	11
Tax Rates	11
Tax on superannuation earnings, contributions and income streams	12
Superannuation Contribution Limits	13
Superannuation Review	14
Investments Within Superannuation	14
Aware Super 'Balanced Growth' Option Historical Performance at 31/12/2022	14
Michael's superannuation – overall asset allocation (total \$3,493,000)	15
Hesta Super 'High Growth' Historical Performance at 30/06/21^	16
SMSF Structure (Accumulation Phase v Pension Phase).....	17
Investments Currently Outside of Superannuation.....	18
Superannuation Contributions v Debt Repayment	19
What is paid to your adviser	27
Plan Fee.....	27

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- | | |
|--------------------------------|--------------------------------------|
| ▪ Trust or business structures | ▪ Direct share or property purchases |
| ▪ Taxation | ▪ Legal matters |
| ▪ General insurance | |

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation contribution strategies
- Superannuation structure
- Investment strategies for the cash component of your SMSF
- Ownership structure of future investments
- Overall retirement planning
- Strategies to assist children

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Michael and Eileen, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your primary goal is to grow your asset base in order to achieve a passive income of greater than \$200,000 p.a. by 2025. Subsidiary goals and objectives are to:

- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life
- Review your superannuation portfolio to determine appropriate strategies and structure moving forward.
- Consider appropriate superannuation contribution strategies.
- Assess appropriate strategies to transition to retirement in the most tax effective manner.
- Ensure you have sufficient cash flow in retirement.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Michael	Eileen
Surname	Ditchfield	Ditchfield
Gender	M	F
Date of Birth	15/09/1960	20/01/1981
Age Last Birthday	61	41
Marital Status	Married	Married

Employment Details

Employment Status	Full Time	Full Time
Occupation	Radiologist	Radiologist
Employer	Monash Health	Monash Health

Estate Planning

	Michael	Eileen
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	To be advised	To be advised
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Elwood residential property (Michael)	\$3,000,000
Cape Paterson holiday house (Michael)	\$1,200,000
Kangaroo Island land (Eileen)	\$350,000
Motor vehicles	\$50,000
House contents	\$100,000
Total Lifestyle Assets	\$4,700,000

Investment Assets	Value
110 Little Road, White Valley investment property (Eileen)	\$1,000,000
16 Luckie Street, Nunawading investment property (Eileen)	\$800,000
13 Bent Street, St Albans investment property (Eileen – 50% share of \$750k)	\$375,000
Cash at bank	\$290,000
Total Investment Assets	\$2,465,000

Superannuation Assets	
Michael	
Self-Managed Superannuation Fund (SMSF)	\$2,213,000
Aware Super	\$1,280,000
Eileen	
Hesta	\$452,000
Total Superannuation Assets	\$3,945,000

Total ASSETS	\$11,110,000
---------------------	---------------------

LIABILITIES

110 Little Road, White Valley investment property loan	\$320,000
16 Luckie Street, Nunawading investment property loan	\$275,000
13 Bent Street, St Albans investment property (Eileen – 50% share of \$562k)	\$281,000
Total Liabilities	\$876,000

NET WORTH	\$10,234,000
------------------	---------------------

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2021-22

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute

Superannuation Review

Michael and Eileen, you currently have the following approximate superannuation balances:

Michael

➤ Aware Super	\$1,280,000	
➤ SMSF	<u>\$2,213,000</u>	\$3,493,000

Eileen

➤ Hesta Super		<u>\$ 422,000</u>
---------------	--	-------------------

TOTAL **\$3,945,000**

Investments Within Superannuation

Aware Super – Account Number CS8134 (Michael)

Michael, you have a superannuation fund with Aware Super invested in the 'Balanced Growth' option.

The asset allocation of the Aware Super Balanced Growth option is:

Asset Class	% of Portfolio
Australian Shares	15.10%
International Shares	26.10%
Property	14.30%
Private Equity	4.80%
Fixed Interest	25.90%
Cash	12.80%
Other	1.00
	100%

Aware Super 'Balanced Growth' Option Historical Performance at 31/12/2022

	1 year	3 years (p.a.)	5 years (p.a.)
Australian Super Balanced option	10.45%	8.57%	7.50%

Self-Managed Superannuation Fund (Michael)

Michael, you also have a Self-Managed Superannuation Fund, the asset allocation (as at 30/06/2021) of which is:

Asset Class	% of Portfolio
Australian Shares	5.93%
International Shares	0.00%
Property	24.27%
Fixed Interest	53.65%
Cash	16.15%
	100%

Michael's superannuation – overall asset allocation (total \$3,493,000)

Asset Class	Amount	% of Portfolio
Australian Shares	\$324,511	9.29%
International Shares	\$334,080	9.56%
Property	\$720,135	20.62%
Private Equity	\$61,440	1.76%
Fixed Interest	\$1,518,795	43.48%
Cash	\$521,240	14.92%
Other	\$12,800	0.37%
	\$3,493,000	100%

Hesta Super – Account Number 13709461 (Eileen)

Eileen, you have a superannuation fund with Hesta Super invested in the 'High Growth' option.

The asset allocation of the 'High Growth' option is:

Asset Class	% of Portfolio
Australian Shares	33.0%
International Shares	37.50%
Property	11.50%
Global Debt	6.0%
Cash	2.0%
Alternatives	2.0%
Private Equity	8.0%
	100%

Hesta Super 'High Growth' Historical Performance at 30/06/21[^]

	1 year	3 years (p.a.)	5 years (p.a.)
Hesta Super Balanced Growth option	24.92%	10.54%	11.41%

[^] Hesta Super only publish 12 months returns as at 30 June each year, whereas 'master trust' superannuation platforms update their rolling 12 month returns each month.

SMSF Structure (Accumulation Phase v Pension Phase)

Michael, your SMSF is currently in Accumulation Phase where all income is taxed at 15%.

Current legislation allows you (as you have reached preservation age) to convert your superannuation to Pension Phase and commence an income stream with your superannuation monies. The following must be considered when determining whether a move to Pension Phase is appropriate:

- In Pension Phase, you are obliged to draw out a minimum income stream of 4% of the fund balance each year. This minimum 4% has been reduced to 2% for the 2021/22 Financial Year as part of the Government introduced Covid relief measures. From age 60, all income received from this income stream is tax free.
- Based on the balance in the SMSF 2021 Statement of Financial Position, this amount for the 2021/22 Financial Year is estimated to be:
 - Michael - \$2,212,553 @ 2% = **\$44,251**
- In the 2022/23 Financial Year, the minimum income stream will revert back to 4%. Hence, based on this balance, the annual minimum drawdown would be:
 - Michael - \$2,212,553 @ 4% = **\$88,502**
- While you are still working and under age 65, the taxation of earnings within the fund will remain at 15%.
- Once you either cease working or reach age 65, the taxation on earnings within the fund will reduce to 0%.

Recommendation:

- As you are still working, tax on earnings within the fund will remain at 15% until you reach age 65 or cease working. Therefore, there is no significant benefit of moving to pension phase at this stage.
- Consider moving your superannuation from 'accumulation' to 'pension' phase:
 - a) if you do not have the ability to make the maximum personal concessional contributions to superannuation each year;
 - b) prior to triggering any large Capital Gain;
 - c) once you cease working or reach age 65 (whichever is earlier)

Investments Currently Outside of Superannuation

- Eileen, you currently have investment properties owned outside of superannuation.

For consideration:

- In light of the fact that superannuation is a tax effective environment to hold investment assets, consideration should be given to selling one of these properties and contributing the net sale proceeds to superannuation via non-concessional contributions utilising the 'Bring-forward' rule.

Bring-forward rule - Eileen

As you are under age 67, you may effectively bring-forward up to two years' worth of non-concessional contributions cap, allowing you to contribute a greater amount (ie up to \$330,000 in 2021–22) without exceeding their non-concessional contributions cap. This is known as the 'bring-forward rule'.

The non-concessional contributions cap available under the bring-forward rule changed on 1 July 2021:

- The non-concessional contributions cap available during the bring-forward period is a multiple of the standard non-concessional contributions cap which increased from \$100,000 to \$110,000 on 1 July 2021.

Under the Bring-forward rule, you are therefore able to make the following non-concessional contributions to superannuation:

Who	Timing	Type of contribution	Amount
Eileen	Pre 30/06/22	Non-concessional	\$110,000
Eileen	Post 1/07/22	Non-concessional	\$330,000
Total			\$440,000

Note: Michael is unable to make non-concessional contributions to superannuation due to the following:

- *Where a member's total superannuation balance is greater than or equal to \$1.7 million at 30 June, their non-concessional contributions cap in the following financial year will be nil.*

Superannuation Contributions v Debt Repayment

- You have investment property loans totalling approximately \$876,000.
- The interest rate on these loans is 2.79% p.a.
- Your initial plan was to pay down this debt over the coming years.
- The options available to you are:
 - **Focus on paying down debt (initial plan)**
 - **Direct surplus funds into superannuation rather than pay down debt**
 - A maximum of \$440,000 can be contributed to superannuation over the next 4 financial years

Option A – pay down debt by \$440,000

- By reducing the principal by this amount, the benefit this provides to you may be calculated as follows:

Interest saved on \$440,000 @ 2.79% = \$12,276 p.a.

The total cost at this interest rate over a 10-year period is **\$122,276**.

Option B – direct \$440,000 into superannuation

- By directing these monies into superannuation via non-concessional superannuation contributions, the monies will then be invested within superannuation.
- Using an average superannuation return of 7% p.a., the \$440,000 is projected to be valued at **\$865,547**.

Recommendation:

- Eileen, we suggest directing surplus monies into superannuation via non-concessional contributions in your name as detailed above, rather than directing these towards additional loan repayments.

Basis of Recommendation:

- The growth rate within superannuation is anticipated to exceed the interest you will incur on the borrowed funds (predominantly due to record low interest rates currently available).
- You will be building assets in what will ultimately be a tax-free environment (superannuation when in pension phase).

Superannuation Investment Strategies

Michael, you currently have approximately \$2.04m (58.40%) of your superannuation assets sitting in cash or fixed interest you seek advice in terms of the most appropriate investment structure for these funds.

The options available to you are:

1. Leave in cash / fixed interest
2. Invest in a Mortgage Fund
3. A mix of low-cost Index Funds across the various asset classes

➤ Leaving in cash

Given record low interest rates, we feel that these funds could be put to better use via either Option 2 or Option 3 in an effort to achieve greater returns without taking on significant levels of risk.

➤ Invest in a Mortgage Fund

Consideration should be given to investing in a Mortgage Investment in an effort to achieve greater returns for your cash component. Cash is currently generating less than 1% p.a. whereas specific Mortgage Investments provide returns from 6.5% p.a. One such Mortgage Investment providers is the CVS Lane First Mortgage Property Fund and we have provided an overview for your consideration here:

CVS Lane First Mortgage Property Fund

- The Fund's strategy is to provide Investors with strong risk adjusted returns by investing in a diversified portfolio of First Mortgage property finance transactions (Underlying Investments) with recycling of capital through reinvestment during the Investment Term. First Mortgage property finance transactions include Land Loans, Construction Loans, Commercial Property Loans and similar or related transactions.
- Investment guidelines include limits on geographical exposure, single investment exposure, maximum term of individual transactions and single borrower exposure. Upon maturity of Underlying Investments, the Fund is repaid capital (which is recycled) and **interest is distributed to Investors on a quarterly basis** (subject to availability).
- The Trustee is targeting an Investor IRR of approx. 8% (after Fund fees and expenses) over the short to medium term. Investors should note this is a target only and CVS Lane will not pursue the targeted returns at the expense of increased risk.
- The Fund will aim to pay quarterly distributions subject to cash availability from the proceeds of cash serviced loans and the receipt of capitalised interest loans which have been repaid during the quarter. This means that the amount of distributions can vary from quarter to quarter depending on the size of loans which have been repaid during the period.

Liquidity

Investors may request redemption of part or all of their investment in the Fund by notice to the Trustee.

➤ **A mix of low-cost index funds across the various asset classes**

This structure will provide you with further diversification and access to all asset classes rather than just cash or fixed interest. An example of such a portfolio on Netwealth's platform is as follows:

Netwealth Accelerator Plus 'High Growth' Portfolio

	% of portfolio
First Sentier Wholesale Equity Income Fund	15%
Vanguard Australian Shares Index Fund Wholesale	18%
Maple-Brown Abbott Australian Share Fund Wholesale	18%
Vanguard Emerging Markets Shares Index Fund	10%
Vanguard International Shares Index Fund	19%
Vanguard Australia Property Securities Index	20%
	100.00%

Performance of the Netwealth Accelerator Plus 'High Growth' Portfolio at 31/12/21

	% of portfolio	1 year	3 years (p.a.)	5 years (p.a.)
First Sentier Wholesale Equity Income Fund	15%	13.55%	12.11%	9.41%
Vanguard Australian Shares Index Fund Wholesale	18%	17.58%	13.93%	9.87%
Maple-Brown Abbott Australian Share Fund Wholesale	18%	19.22%	10.15%	6.42%
Vanguard Emerging Markets Shares Index Fund	10%	2.20%	9.01%	9.10%
Vanguard International Shares Index Fund	19%	29.67%	20.70%	15.18%
Vanguard Australia Property Securities Index	20%	26.83%	13.27%	9.82%
	100.00%	19.88%	13.64%	10.10%

Fee Structure

The portfolio detailed above has a Management Expense Ratio of 0.54% p.a. which is built into the performance figures. Hence, this is an indirect cost.

The account fee is based on a percentage of your account balance plus a fixed amount (and subject to a minimum account fee) as set out below:

A Fixed Fee of **\$240 p.a.** and **0.30% p.a.** will apply to your account. You will receive a rebate on the Investor Rewards investments, this applies to two options within our Netwealth recommended portfolio.

Account balance	% applicable
\$0 - \$250,000	0.30% p.a.
\$250,000 - \$500,000	0.20% p.a.
\$500,000 - \$1.0 million	0.10% p.a.
\$1.0 million - \$2.5 million	0.05% p.a.
Above \$2.5 million	Nil
\$240 p.a. fixed amount applies to each Wealth Accelerator Plus account	
\$550 p.a. minimum account fee applies to each Wealth Accelerator Account	

***0.10% fee rebate on the value of funds held in any of the Investor Rewards options each year.**

***First Sentier Wholesale Equity Income Fund & Maple-Brown Abbott Australian Share Fund are both Investor Reward Options.**

Dollar Cost Averaging

Rather than moving all of the SMSF cash into the markets at once, a Dollar Cost Averaging strategy should be considered in an effort to avoid trying to 'time' the market.

Dollar cost averaging is simply the term used to describe the strategy of making regular incremental investments over a period of time as opposed to a one-off lump sum investment.

The theory behind this strategy is that you can reduce the market timing risk of investing your entire portfolio in a single transaction on what might be an expensive entry point. In other words, if you invest a lump sum on a day when the market is up you will purchase a lower number of units compared to a day when the market is lower. By adopting a dollar cost averaging strategy, you can spread out your investment entry points and potentially achieve a lower average cost base, which means you purchase a greater number of units for the same (investment) amount.

Retirement Planning

You have stated that your goal is to structure your assets in a manner in which they provide you with a passive income of \$200,000 with minimal or no debt.

Current Situation:

Excluding lifestyle assets, you currently have the following net asset position (investments and superannuation):

Superannuation Assets	
Michael	
Self-Managed Superannuation Fund (SMSF)	\$2,213,000
Aware Super	\$1,280,000
Eileen	
Hesta	\$452,000
Total Superannuation Assets	\$3,945,000

Investment Assets	Value
110 Little Road, White Valley investment property (Eileen)	\$1,000,000
16 Luckie Street, Nunawading investment property (Eileen)	\$800,000
13 Bent Street, St Albans investment property (Eileen – 50% share of \$750k)	\$375,000
Cash at bank	\$290,000
Total Investment Assets	\$2,465,000
Less Debt:	
16 Luckie Street, Nunawading investment property loan	\$275,000
110 Little Road, White Valley investment property (loan	\$320,000
13 Bent Street, St Albans investment property (Eileen – 50% share of \$562k)	\$281,000
Total Liabilities	\$876,000
NET INVESTMENT ASSETS	\$1,589,000

Indicative passive income that may realistically be generated from these assets:

Superannuation Income
 \$3,945,000 @ 6% p.a. = \$236,700

Property Income
 Gross rent (based on 2021 tax return) = \$ 85,151
\$321,851

Comment:

You are currently in a position where you are able to generate your required passive income. Focus should therefore now be placed on structuring your assets in the most tax effective manner.

Structure of Future Investments

- As previously outlined, superannuation offers the most tax effective structure for investment assets.
- Superannuation in Accumulation Phase attracts a 15% tax on income.
- Superannuation in Allocated Pension phase does not attract any tax on income.
- Eileen, you are obliged to have your superannuation in Accumulation Phase until 60 years of age.
- Michael, upon retirement, or at age 65 (whichever is sooner), you may convert \$1.7m of your superannuation from Accumulation Phase to Pension Phase (Allocated Pension).

Recommended Structure:

- Ideally, the majority of income producing assets should be held in superannuation in Michael's name as Michael will be entering Pension Phase first.
- The majority of 'Growth' assets should be held in superannuation in Eileen's name as any income will be taxed at the 15% superannuation tax rate.
- For any investments that are made outside of superannuation, a Family Discretionary Trust should be considered, provided the investments produce positive net income.
 - The income generated by the investments within the trust may be streamed to family members (i.e. lower tax rate beneficiaries).

Investment for William's Education

- There are a number of products available, the aim of which is to assist in saving for a child's education.
- These are commonly known as Education Bonds.

Suggestion:

- Whilst these products may be suitable in certain situations, our view is that you may be better off focussing on building your wealth via tax effective investing. This should ultimately result in a larger amount of funds available for education than if you contributed monies to (say) an education Bond.
- However, for information purposes we have provided details of a couple of providers of these products should you wish to explore these:

Futurity: <https://www.futurityinvest.com.au/education-bonds>

Centuria: https://centuria.com.au/investment-bonds/investor-profiles/investing-for-children/?gclid=Cj0KCQiAi9mPBhCJARIsAHchl1zTtMWxQNalFq5sDFd4eZ2FUeoanTAgstTzWS9DI3-aij3cCTeM9pUaArrrEALw_wcB

Estate Planning – Tax Effective Wealth Transfer Program

Michael, you have three adult children and Michael and Eileen, together you have a son, William, who will be 2 years old in March 2022.

Consideration should be given to a tax effective wealth transfer program that may start now rather than upon death.

Such a program may take the form of passing monies to your children on an annual basis to make personal concessional contributions to their superannuation funds.

An example of how this may work for each child is as follows:

For illustrative purposes, let's assume one of your children is currently on a salary of \$80,000. **Tax payable** on an income of \$80,000 is **\$16,987** (inc. Medicare Levy). His/Her employer superannuation contributions are \$8,000 p.a. You could therefore gift him/her \$19,500 p.a. for them to contribute into their superannuation fund as a personal concessional contribution to reach the cap of \$27,500 each year. **Note: the concessional contribution cap was \$25,000 p.a. up until the current financial year (2021/22).**

Carry Forward concessional Contributions:

As the child's superannuation balance will be below \$500,000 there is also the ability to make 'catch-up' contributions for previous years, dating back to 2018/19.

Current 'carry forward' concessional contributions available are therefore:

Financial Year	Contributions Received*	Total Allowable Contributions	Remaining Available Contributions.
2018/19	\$7,600	\$25,000	\$17,400
2019/20	\$7,600	\$25,000	\$17,400
2020/21	\$7,600	\$25,000	\$17,400
2021/22	\$8,000	\$27,500	\$19,500
TOTAL	\$30,800	\$102,500	\$71,700

* Super Guarantee (SG) rate was 9.5% p.a until 2021/22, at which time it increased to 10.0% p.a. \$51,000 (3 x \$17,000).

Ideally, your son/daughter would reduce their taxable income down to the 19% tax threshold of \$45,000.

Utilising the 'catch up' contributions available, the following contributions can be made over the coming years:

		2022/23	2023/24	2024/25	TOTAL
	Concessional Contributions Available	\$71,700	\$36,700	\$21,200	
	Carry Forward Contribution	\$15,500	\$15,500	\$15,500	\$46,500
	Concessional Contribution	\$19,500	\$19,500	\$19,500	\$58,500
	Total Concessional Contribution	\$35,000	\$35,000	\$35,000	\$105,000
	Taxable Income	\$45,000	\$45,000	\$45,000	
	Tax on taxable income	\$4,812	\$4,812	\$4,812	
	Reduction in tax payable	\$12,175	\$12,175	\$12,175	\$36,525

There is the opportunity to gift a child the concessional contribution amounts detailed above.

This would result in an estimated **income tax saving** over the next three years of **\$36,525**.

Net Cost to You:

- If the child were to reimburse you the tax that he/she saves over this period, the NET cost to you will be as follows:

\$105,000	amount gifted to son/daughter for super contributions over the next 3 years
Less <u>\$36,525</u>	reimbursement of tax refunds that son/daughter receives over this period
\$68,475	NET COST to you

Benefits:

- Superannuation monies cannot be accessed until preservation age (60 years of age).
- Personal concessional contributions are made with pre-tax dollars and therefore your children will receive a reduction in taxable income for the contributions that they make.

Risks:

- The monies will be in the individual's name (within superannuation) and therefore at risk should any financial settlement be required in the event of a relationship breakdown.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$4,000+GST, which will be invoiced to you.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).